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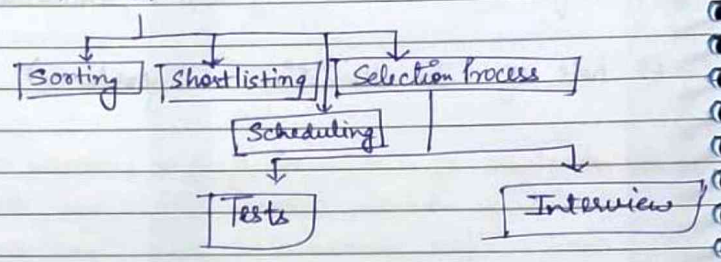
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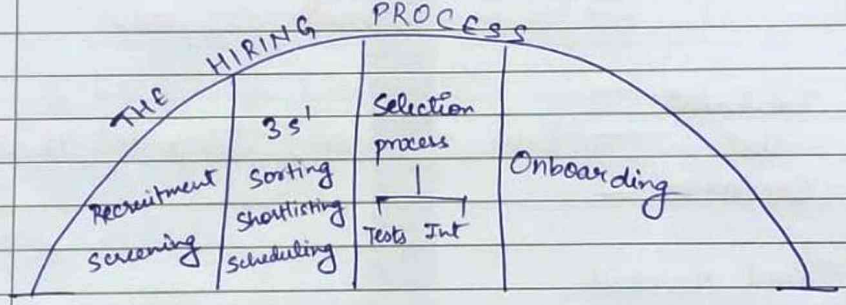
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Human Capital Management

Human Capital
- Human as an asset

Hiring
Screening → 3's





The process of HR is usually initiated with job analysis.

Job Analysis - It is a crucial aspect which refers to the process of identifying the duties, responsibilities specific to a profile by understanding the skills, knowledge, qualifications, experience and the influence it has on the other jobs in the org. It is crucial in designing and functioning of the organisational structure.

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Reply

Pratik Fostiima
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Conducting job analysis of each post at each level for desired results

- Job analysis is not only done for determining the job to be executed but also to determine the flow of activities with relationship to the other jobs. It is a complex task and requires a lot of input in order to have proper job analysis in place.

- Job analysis is a dynamic concept which requires continuous inputs due to changes in environment and other influences.

- It helps to develop and design the organisational framework.

Designing of job analysis is not easy and requires multiple methods for arriving at right job description. They are -

(1) Conducting interviews of people directly or indirectly involved in the jobs

(2) Getting surveys & questionnaires filled in

(3) Observation methods

Designing of jobs is a critical factor for rolling in & execution of tasks by the right set of people. Once this is ready, the org can roll in its recruitment process.

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HRM

Recruitment:-

Recruitment is the process of gathering a pool of potential candidates based on the JDs that have been created by the organisation. The idea behind the recruitment drive is to gather as many as possible candidates for a particular job role. Finding candidates from the market is not an easy task and organisations need to identify what channels to use for attracting applications. The idea of choosing the right channel is critical as choosing a wrong channel can lead to a total waste of time, effort and energy.

The choosing of the channel is guided by the concept of the three Cs :- The Cost, The Catchment and The Conversion.

An organisation has to identify the most economical channel while keeping in consideration the catchment of the channel. (Catchment refers to the reach of the channel). Identify the reach of the channel to the right kind of candidates is very important. If the JD and the job opening is not reaching the right candidate pool, it would be a wasted exercise.

Identify the conversion of any channel is also vital in a recruitment drive, how many people see the post and how many respond to it, the ratio is critical.

The attempt by the recruitment drive has to generate a bigger, wider, reliable pool of candidates.

Once, the JDs have been floated and the applications have been recieved, there is a need to put all of them

through a basic screening process.

In the screening process, all irrelevant applications (which do not fit the context) have to be removed. Once all the applications have been screened either manually or through the use of technology, what remains behind is a pool of potential candidates. All of these candidates, all of whom on the face of it are candidates who can deliver the job. At this stage the recruitment process ideally comes to the closure.

A good recruitment process is extremely critical, else an organisation would have limited options for the selection of a candidate.

The three S:

Once the pool of candidates has been prepared for the specific job, the organisation gets into the sorting process. In the sorting process, candidates who match better to the said profile are duly ranked. The ranking process helps better candidates to be identified. Once, the sorting has been done and ranked, the candidates are usually categorised into categories A, B & C.

An organisation moves towards then checking on the availability of the category A candidates to start with.

Depending upon the availability and the interest of the candidate, a shortlisted candidate list is prepared. Once this list is prepared, the process moves on to the selection process.

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The selection Process:-

For the selection process to happen, a lot of homework needs to be done. An organisation must know how it is choosing to select their candidates. The selection process is accomplished by using two broad tools:-

(i) The tests
(ii) The Interviews

(i) The Tests:-

Ideally, the tests are conducted prior to the interviews in order to have a ready reference about the person appearing for the job. Tests are designed and formatted as per the needs of the requirement of the specific job profile. There are different types of tests and needs based on which the specific test has to be designed. Different types of tests, test a person through different aspects like skills, personality, behavior, endurance and situational analysis. The tests can be of the following types:-

(a) (i) Pre-formatted:- Same questions lined up for all candidates with a standard answer sheet.

(b) A structured test:- This is designed and structured as per the needs and demands of different levels with its assessment simultaneously designed.

(c) A specific limited role test:- Usually for skills and technical testing of a particular role.

Designing of test and their assessment is a very important aspect that organisations have to pay attention to. Once the tests results and indications of the tests are available, the organisation moves on to the interview round. Some candidates are dropped out purely on the basis of tests.

Interviews:-
Interviews are conducted at different levels in order to identify candidates capabalities from different perspectives. Usually organisations prefer two to three levels of interviews but it can go higher as well. The different levels of interviews that are conducted are:-

(i) HR round
(ii) The Department round / Interview with the immediate boss
(iii) Management round / Domain related round
(iv) Senior Management round

Different types of interview conduction are:-

(i) PI (One-on-one interactions)
(ii) Panel Interviews (Panel of experts conducting an interviews together).
(iii) On-site interviews (Series of interviews which are general or technical in nature.)
(iv) Task-oriented interviews (also called problem solving interviews)
(v) Stress interviews (Putting candidates through stressful situations to observe responses)
(vi) Group interviews:- Group of candidates are assessed for judgement with or without the intervention of panelists. The interviews to be conducted are also

The interviews to be conducted are also to be defined on the basis of their formats. Can be formal & informal.

Formal interviews:- Can be designed in one of the following manners

(i) Planned (Pre-Planned set of Questions)
(ii) Pattern (Patterned means a planned interview in which a highly structured format is followed and it tries to identify the pattern of an individual's behaviour or activities)
(iii) Non-directive :- Questions are not asked directly, they are pre-planned and pre-arranged for situational assessment.

Interviews are also designed and formatted as under
(i) Structured interviews
(ii) Semi-structured interviews
(iii) Unstructured interviews

The structured interviews are usually for lower level management

Semi-structured for middle level management.

Unstructured for top level management.

Different types of interviews have their own conducting methods. They usually don't have a fixed format and are guided by the guidelines pertaining to the type we have chosen for conducting the interview. All different types of interviews have their own advantages & disadvantages. It is upto the organisation to identify which one is suitable for them.

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• Advantages of interviews:

(i) Easy correction of any errors:- If any misunderstanding or mistakes have been made by the candidate or the interviewer, it can be rectified immediately.

(ii) Development of a relationship:- An interview inculcates an understanding & cooperation between the two parties.

(iii) Selection of the right individuals:- A lot more is revealed about the candidate while conducting an interview.

(iv) Correction and verification:- Primary information provided in the CVs can be verified and corrected if required.

(v) A time saving tool:- Interviews can within a short period of time help identify & accomplish the selection of the right candidates.

(vi) Less Costly:- It is a simple prompt, low-cost, direct communicational channel.

(vii) Increases knowledge:- Interchange of views, ideas and knowledge during the interviews helps both the parties.

(viii) Helps in in-depth analysis:- Abstract factors like attitude, opinions, feelings etc. can be ~~succe~~ ~~succ~~ successfully evalua

Disadvantages of different types of interviews:-

Some of the major limitations of interviews are:-

(i) It is an incomplete judgement technique :- Other parameters / techniques need to be added along with an interview for complete evaluation.

(ii) No records :- As there is no evidence or record of what has been discussed; it can be a misguided tool.

(iii) Lack of attention :- Lack of attention by both the interviewer or the interviewee can lead to information being missed out.

(iv) Disappointment and demotivation :- A suitable candidate who may not make it through may feel disappointed & demotivated.

(v) Time - Consoming :- It is a time consoming process:- preparing, conducting & evaluating along with interpreting the results can be a highly time - consoming process.

(vi) Biasedness of the interviewer :- There is always a possibility that the interviewer is biased or influenced.

(vii) Costly :- An interviewer can turn out to be an expensive method if not planned well.

(viii) Inefficiency of the interviewer :- Success of the interview depends of the efficiency of the interviewer. If the interviewer is inefficient, it would lead to misleading results.

(ix) Not suitable for personal matters :- People may not reveal or like to discuss personal matters in the interview.

Talent Acquisition: (TA)

Talent acquisition and recruitment are used as synonyms very often but are different. Both Talent acquisition & hiring are usually used depending upon the circumstances and on the need of the job. While recruitment is tactical in nature, ~~a~~ talent acquisition is strategic in nature. Recruitment is about filling up vacancies through maximum no. of choices whereas talent acquisition is a strategy to find specialists, proven leaders or high potential candidates for the company. TA focusses on identifying & getting individuals with specialised skills.

TA is also critical when a company needs to fulfill leadership roles or deliver projects or tasks in a shorter duration of time frame.

TA is used when the positions are difficult to fill or are in areas that require experience and specific exposure and their availability is limited.

In a dynamic business environment, a lot of new domains keep getting generated & it is not possible to fill those through recruitment. For eg: a cybersecurity expert or an environmental engineer.

Talent acquisition is also critical as competition for the top talent continuously heats up. TA is achieved by creating a strong cultural environment in the organisation or by offering unique benefits or challenges as well as by

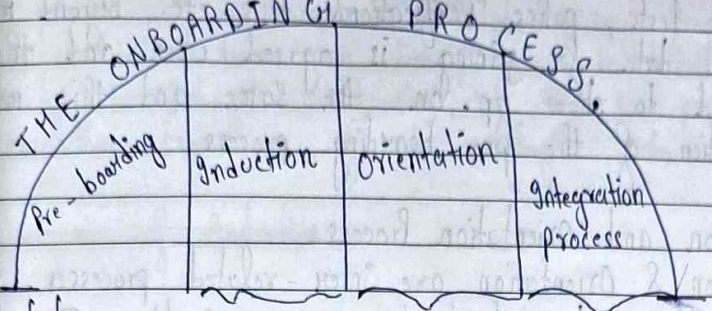
enhancing and leveraging the brand.

TA helps in building a stronger company, fosters team work & boosts productivity. The stress levels in an organisation also see a marked reduction due to proper talent acquisition.

TA is not a one-time event. It is a continuous activity of networking, building relationships with the top talents as well as enhancing the organisation to make it an attractive destination.

TA takes more time & effort but is usually helpful in finding an asset for the organisation.

HR



The Onboarding process:

The onboarding process is initiated once a candidate has been selected and the organisation is ready to go ahead with the candidate. On confirmation of the candidate, an organisation make and offer letter (the candidate has been selected by the organisation but the candidate has not been yet committed to the organisation). Once the offer letter has been recieved & duly accepted by the employee, the organisation rolls in the pre-boarding activities. One of the primary pre-boarding activities is the employee verification. The employee verification at times is done prior to making an offer letter or may be done even after the acceptance of the offer letter.

→ If the credentials of the candidate are verified, the organisation proceeds with verification of the documents to prepare an employee file & ID.

→ Beyond this, the organisation proceeds with requisite tests like

medical tests, police verificational tests etc. Beyond these a mutually accepted date for joining is agreed upon and the candidate is expected to show up. On the same and this marks the culmination of the pre-boarding process.

Induction and Orientation Process:

Induction & Orientation are inter-related processes. They are used to help employee to understand an organisation. The two terms: induction & orientation many a times are used inter-changebly though there is a marked distance between their meaning and application. Induction is a process of introducing a new comer to the work environment organisation. Introducing the worker to the work environment and its heirarchy. It is the process of formally admitting new comer into the organisational structure. During the induction process, the introduction is given about the vision, the mission, objectives, policies, & regulations as well as the business of the organisation. Induction is usually a shorter process and is handled by the HR department or at best by the immediate boss.

→ On the other hand, Orientation is a process which helps a new comer to adjust to his or her department, responsibilities, work culture & the processes involved for deliverance of output. Orientation helps a new comer align with the organisational goals. Orientation can be a short one or a long process spread over a couple of days to a couple of weeks, depending on the organisation & the complexity of the job. During orientation, the new comer learns about the assignments, other team members, their work & process familiarizing oneself in ourself. & to the work environment equipment and the reporting structure of the department and the organisation.

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→ The process of induction & orientation vary from organisation to organisation in terms of time, way to handle and their intensity. But, the main aim of the two processes is to get a smoother transition of an employee into an organisation.

~~Techniques of Induction~~ :-

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for PMS

Performance is a key parameter for any organisations success. Employees need to perform to ensure the organisational goals are met. Measuring of the performance is a critical aspect as it ensures stability and continuity of an employee in the organisation. Performance management is a tricky aspect as it involves recording and interpreting of the performance of an employee in a fixed period of time against pre-designated goals as well as a pre-defined yardstick for measurement of the performance. Rewarding the employees who perform and making the employees who are falling short of the expectations aware of the situation is an important aspect. The reward system under the performance management system is a critical tools in the hands of the management. This helps management to keep employee satisfied and motivated to achieve more in order to receive rewards and have a progressive career growth.

Traditionally, performance has been judged and managed through performance appraisal. Performance appraisal is still a prevalent technique in the industry but a lot of progression has been made and most of the bigger firms (where man-power is huge) realised performance appraisal alone would not be sufficient to get the desired results from the employees. Both of these organisations realised they need to monitor performance on a continuous basis and need to have a system in place that can keep not only the organisation but the employee in the loop of the performance happening in real time. Organisations adopted PMS in order to address this. A PMS is a real time technologically backed system in

which judging of an employee performance in real time is possible. In this system, what an employee does on a regular basis is fed in into the system and the flow of work activities is monitored. By using this system, managements in real-time identify where the work is flowing or is stuck and the reason and the people behind the same. This helps track performance on a regular basis with employees knowing how they have performed, the feedbacks and an anticipation of a reward as it happens.

Understanding and monitoring of performance is important as the continuity of an employee in an organisation is majorly driven by the satisfaction levels of the employees. By following the performance measuring mechanism, an organisation ensures that this aim is achieved resulting in the continuity of an employee in the organisation with a productive output.

HRM

Compensation management

Compensation management is a critical tool in the hands of the management. Compensation is what an employee recieves in lieu of (in return of) their time, effort, energy and knowledge he/she gives towards the organisational cause. Finding the most competent, talented, capable employees and managing to retain them is the top priority for any organisation. To attract talented, capable manpower, one of the most effective tools is offering an attractive compensation. The package should be such that an employee may find it difficult to refuse.

Compensation and benefits are not only an important tool to attract but also plays a critical role in employee satisfication. Satisfaction of an employee impacts the performance and the level of motivation of the employees. It is also a great tool to make the employees value their job and stay loyal towards the company.

While compensation is a sum total of what is given to an employee, there are other terms like remuneration, benefits that are used to explain compensation. These terms are technically only a part of compensation. Compensation refers to the payback that an employee recieves in terms of money, perks or psychological advantages. It includes aspects like subsidized food, subsidized travel, entertainment or components like provident fund, bonuses, ESI contribution, medical coverage etc. (Many of these are legal requirements in a compensation package). Apart from these components, an organisation can add up benefits to make the compensation package an attractive offering.

The benefits offered in a compensation package are basically designed keeping the wants and aspirations of the employees in mind. The benefit component is a flexy component. designed an offer keeping the role, the level and type of individual performing the job. These usually include components like club memberships, gym memberships, flexy working hours, entertainment activities etc.

Compensation also includes components that are non-financial in nature. These comprise of factors like better designation, more responsibilities, a self-determining work-process, remote working possibilities and even factors like casual dressing.

Both the monetary and non-monetary components of the compensation need to be designed in order to make the offering a package that would deliver the management's goals (finding the best person, sustaining and retaining).

The designing of the compensation is a complex task, multiple factors need to be taken into account while designing the same. Some of the key components while designing a compensation package are:

(i) Organisational budget
(ii) Relevant market packages for the same role
(iii) The level and the nature of the job
(iv) The ability of the organisation to handle multiple components
(v) The changes an organisation can handle

Designing of the compensation is done keeping in mind these factors even before an individual is onboarded. A compensation is ideally a part of the JD itself which is supposed to attract the right talent.

A compensation is a dynamic process and needs changes on a constant basis. An organisation has to continuously alter the same in order to satisfy and retain the workforce. An organisation which handles its compensation design and management usually manages to find, sustain and retain its workforce.

Components of compensation

Compensation can be divided under several heads or types but for the case of understanding, it can be divided into four broad heads:-

(i) Fixed pay:- It is the minimum amount an employer pays to an employee (excluding bonus, over-time or any other perk)

(ii) Variable pay:- It is the amount paid to an individual on the basis of performance as well as on the basis of the overall performance of the company.

(iii) Equity pay:- Sometimes an organisation compensates its employees by offering shares and stocks of the company either at the market price or at discounted price.

(iv) Benefits and perks:- These are offered as variable options, they reflect a company's culture, company's values and the needs of the market. Some of the benefits/perks

offered, are travel subsidies, food subsidies, health insurance, life insurance, retirement plans, parental leave, paternity leave, vacations, commissions, overtime benefits, merit-pay options, reimbursement programs, entertainment cards, educational aids both for the self and family.

What is Compensation why is compensation important Compensation designing Compensation management

→ what we have written so far

Models of Compensation:-

The Total Rewards model, one of the most important and widely used compensation model is called the total rewards model. It works on the concept that monetary aspects of the job are not the only factors that influence an employees preference and well-being in the organisation. Non-monetary benefits such as health, work-life balance, recognition and opportunity also play an important role.

Well-being of an employee comprises of an overall state an employee is in which includes emotional, physical and environmental well-being. It includes aspects like health care, time available, retirement plans, security of the job, opportunity for skill development, career advancement, formal and informal appreciation and acknowledgment of an employee's efforts towards the company on a regular basis.

In a nutshell, the total rewards model emphasizes that a good compensation package comprises of :-

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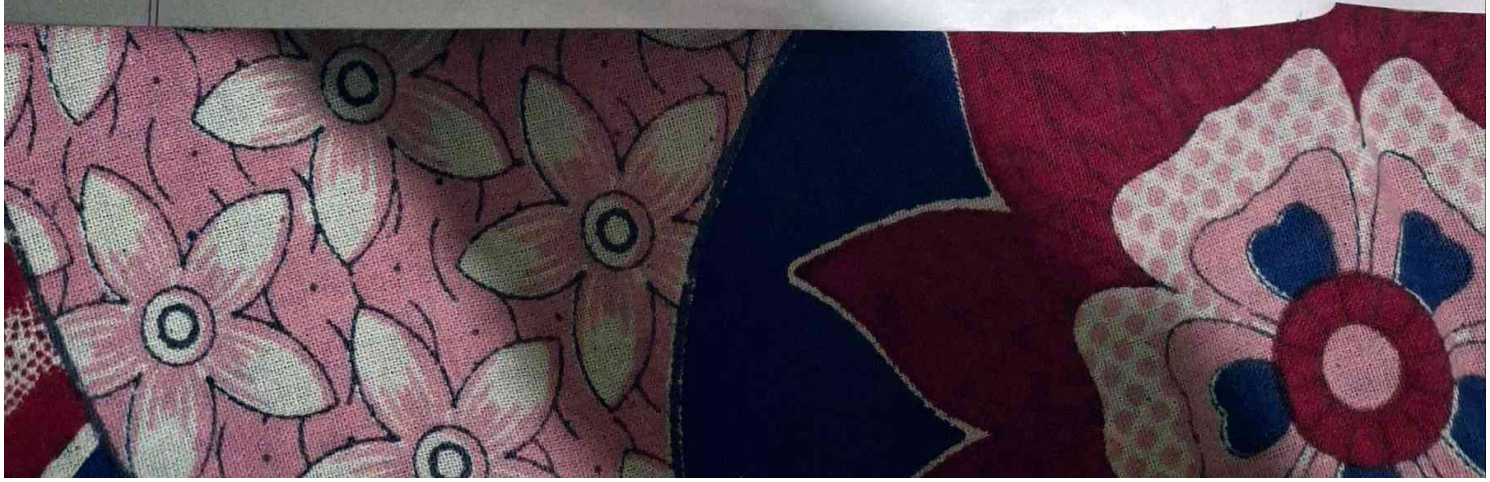
(i) Monetary rewards (depending on multiple factors)
(ii) Well-being of the employee
(iii) ~~Occas~~ Occasional ~~Occasional~~ Occasional additional benefits
(iv) Recognition

Vitamin Model

Peter Wurr, a world renowned psychologist, developed a model for compensation by comparing the components of a compensation package with various types of vitamins. Humans need a lot of different vitamins to stay healthy and to survive. Peter compared these vital vitamins with different components of compensation. He stated components like money, a comfortable working environment and job security only help in survival of an employee. (Many models propose these as growth factors but as per ~~there~~ this model, these are only survival components). He identified and said, if an organisation provides these components in the ~~di~~ right quantum, they help in the survival of an employee and sustain the employee but ~~does~~ does not necessarily motivate them to perform or do anything extra.

He ~~dev~~ divided the compensation components into two additional sets like the vitamins. He compared set one with vitamin C and D which are necessary for body's growth. These vitamins need to be provided in the right quantum. These do not have immediate negative impact if they are withdrawn but affect in the long run. He compared the additional benefits in the compensation package to these vitamins.

He identified the next step of vitamins as vitamins A and B. These vitamins, if withdrawn hamper the overall wellbeing of



the body. If they are given in excess, they can become toxic for the body. and the body automatically rejects these vitamins. He compared these vitamins with the psychological components of recognition, acknowledgment of efforts and praise.

Basically, to understand the vitamin model, Peter suggested that like vitamins are to offered in the right quantum, the components of compensation have to be provided in the right ratios. If they are not offered in the right ratios, they can lead to hampering of the growth and survival aspects. If they are offered in the right ratios, sustaining employees for a long period of time and keeping them motivated would be achieved.

Concept of Equity pay:

The concept of equity pay is also known as compensation fairness. The concept works on the fact that a standardized job profile must be paid a standardized compensation. Different hierarchichal levels in an organisation across different departments should be ideally paid an equal amount in compensation (for eg: a marketing manager / finance manager / operations manager / HR manager should be paid equally as all four would be critical for functioning of an organisation). Despite the benefits of this concept, the compensation fairness is a difficult concept to implement and sustain. The concept states that everyone is paid in accordance to the industry standards as well as same for similar designations. However, industrial capacity and performance may not necessarily result in equal pays. Further, many jobs appear to be similar but many of them actually require specialised knowledge or specialised skillsets to execute.

making pay parity difficult. Further, the workload may not be the same for all roles. Ideally, for the concept of equiy pay to work out all the employees should have the same kind of job environment and outputs, and this is usually not possible.

In order to ensure, ~~the~~ compensation fairness a clear communication among the workforce is critical. Transparency about the salary, the bonuses, and the perks with comparison to skills, workload and knowledge requirements helps people understand the concept. Another approach that helps to understand the process of equiy pay is to determine the process of different roles and promotions. Once, the employees get the understanding and the transparency, they deem to accept the compensational differences.

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HRM

~~Retint~~ Retention management:-
Retention management refers to a strategic process of maintaining talented, competent and committed workforce in an organisation for as long as possible. It involves drafting and implementing policies, practices and formulating a work culture that encourages employees to remain with the organisation thereby reducing the turnover rate and ensuring organisation stability. It is a key component in order to build the reputation of an organisation.

Importance of retention management:-
Employee retention is a critical aspect because skilled and experienced employees are valuable assets. A high turnover of the manpower not only leads to an increased recruitment and training cost but also disrupts productivity, morale as well as generic customer satisfaction with the organisation. Effective retention management ensures continuity and stability in operations, improved employee engagement and enhanced productivity, stronger organisational culture and knowledge retention. Eventually good retention management enhances the brand and organisational reputation.

Key factors influencing employee retention:-

(i) Compensation and benefits:- Fair, competitive salaries, bonuses and benefits ensure retention.

(ii) Career development opportunities:- Training, mentoring and providing clear growth paths helps people stay.

(iii) Work environment :- A positive, inclusive and a safe workplace having a growth culture helps.

(iv) Leadership and management :- A supportive and transparent leadership helps retention to a great extent. Proper management practises and there implementation makes people stay.

(v) Work-life balance :- Flexibility, wellness programs, recognition of personal needs, empathy play a critical role in retention.

(vi) Recognition and reward systems :- Acknowledging the contributions and achievements by the employees goes a long way. Organisations who recognise and reward people in a timely manner have happier employees.

Retention strategies :-

(i) Onboarding and orientation :- Ensuring new employees integrate smoothly and feel valued in the system.

(ii) Employee engagement programs :- Encourage participation in all activities, develop team spirit and having an open mind to innovations is critical.

(iii) Performance management systems :- Providing real time constructive feedbacks and fair appraisals based on performance.

(iv) Career pathway :- Designing a structured growth opportunity within the department or even beyond the department makes employees stay.

(v) Employee recognition initiatives :- A regular appreciation and

recognition system backed up by a rewards program is important.

(vi) Exit interviews and feedbacks :- Understanding the reasons for attrition and using the feedbacks to bring about changes in the policies and stop further attrition helps.

Challenges in retention management:

(i) Rising competition for skilled and competent manpower;

(ii) Changing employee expectations continuosly

(iii) High work pressure environments and inability to handle them.

(iv) Lack of career growth

(v) Feeling of stagnation

Retention management is not just about keeping employees with an organisation, it is about creating an environment where they want to stay and grow. Organisations that invest in employee well-being, growth and there recognition, enjoy greater loyalty, performance, long-term success and better reputation. It also helps in building a future ready manpower.